

CHAPTER 4

THE CLASSIC CASES, II: THE BUBBLE

As the great speculation was coming to its unpredicted but wholly predictable climax in Paris in 1720, so was another, this one in London. Insanity born of optimism and self-serving illusion was the tale of two cities. As might be expected, both the British players and the event itself lacked the French style. It was, by comparison, a rather ordinary, if exceptionally intense, boom and collapse in securities prices augmented by a comprehensive exercise in official bribery, corruption, and chicanery.

The discovery that justified the boom, or, as always and more precisely, the rediscovery, was of the joint-stock company. Such companies went back a hundred years and more in England; suddenly, nonetheless, they now emerged as the new wonder of finance and the whole economic world.



Robert Harley, Earl of Oxford, helped to found the ill-fated South Sea Company.